Before You Start: The Reality Check

Opening a salon is one of the most rewarding small-business paths there is — and also one of the most common ways a motivated owner loses $80,000 in 18 months. The difference between the owners who succeed and the ones who close isn't talent behind the chair. It's preparation in the months *before* the doors open.

This guide walks you through every step, from the first concept conversation to your 90th day of operations, based on what first-time owners actually do right and the specific mistakes that cause most failures. Read it once top to bottom, then come back to each step as you work through it. Use the printable checklist at the end to keep yourself on track.

A few ground rules before we start:

- **Plan for 5–8 months, not 5–8 weeks.** Rushed opens lead to cost overruns, half-finished spaces, and under-trained staff.
- **Reserve 90 days of operating cash as a buffer.** Keep this separate from your build-out budget. Most failed salons had the money to open and ran out before revenue caught up. This single discipline saves more businesses than any other.
- **Write everything down.** Numbers, not vibes. Gut-feel budgets are how $120,000 becomes $165,000 without anyone noticing.

The 15 Steps

1 Validate Your Salon Concept

⏱ 1–2 weeks 💵 $0

Before you spend a single dollar on leases, equipment, or lawyers, test whether your idea actually survives contact with reality. Interview at least 10 people who match your target customer — not your friends. Ask what they love and hate about their current salon, how far they drive, what they pay, and what would make them switch. Visit 5 competing salons in person and take notes: pricing, wait times, vibe, obvious gaps.

If you want a more structured approach, the free Salon Business Idea Validator walks you through 20 targeted questions that most first-time owners skip — differentiation, target-market clarity, pricing assumptions, competitive gaps, and cost viability.

2 Research Your Market & Location

⏱️ 2–3 weeks 💵 $0

Before picking a space, understand the neighborhood. Use Statistics Canada, the U.S. Census Bureau, or your city's open-data portal to find: population density within a 10-minute drive, median household income, age distribution, and the existing density of similar salons (Google Maps is a great free tool for this). Look for areas where population × income × underserved supply is highest.

The winning locations are rarely the ones with the most traffic — they're the ones with enough *your-customer* traffic and not enough competition. A strip mall next to a grocery store anchor serving a 30,000-person residential area with only 3 nail salons is a better bet than a busy downtown block with 9 competitors already.

3 Write Your Business Plan

⏱ 2–4 weeks 💵 $0–$500

A business plan isn't bureaucracy — it's how you stress-test your idea before writing a check, and it's mandatory for any bank or SBA loan application. A complete plan is 15–25 pages and covers: executive summary, company description, market analysis, services and pricing, marketing plan, operations, management team, financial projections, and funding request.

Don't write one from a blank page. Use our free Salon Business Plan Template — it's a complete, bank-ready example built around a hypothetical Calgary salon with realistic numbers you can adapt to your situation. Swap in your own details, customize the financials, and you're 80% done.

4 Calculate Your Startup Costs

⏱ 1 week 💵 $0

A small nail or beauty salon typically costs **$75,000 to $250,000** to open, depending on location, square footage, and whether you're building out a raw space or taking over an existing salon. The biggest line items are leasehold improvements, equipment, first and last months' rent, and your 90-day operating buffer. Budget a minimum 6% contingency on top for the cost overruns that will happen.

Use the free Salon Startup Cost Calculator to build a line-by-line budget. It prompts you through every category so you don't forget something critical like insurance, legal fees, signage, or technology setup. How much does it cost to open a nail salon? walks through typical cost breakdowns with real numbers.

5 Secure Your Funding

⏱ 4–8 weeks 💵 loan fees $500–$2,000

Once your business plan and budget are nailed down, it's time to find the money. Most salon owners use a combination of personal savings (20–30% owner equity is typical), a small business loan (SBA 7(a) in the U.S., BDC Small Business Loan in Canada, or a traditional bank loan), and sometimes equipment financing for chairs and stations.

Other options include business credit lines, friends and family investment, crowdfunding (Kickstarter, IFundWomen), and small business grants targeted at women-owned or minority-owned businesses. We'll cover each option in depth in our upcoming *Salon Funding Options* guide. The key principle: start the application process **3 months before** you need the money. Lenders are slow.

6 Choose Your Legal Structure

⏱ 1 week 💵 $500–$1,500

For most salon owners, an **LLC** (U.S.) or **incorporated corporation** (Canada) is the right structure. Both protect your personal assets from business liabilities — critical in an industry where lawsuits over chemical burns, infections, or staff disputes do happen. Sole proprietorships are cheaper to set up but leave you personally exposed, and most banks won't extend credit to a sole prop without a personal guarantee anyway.

Budget $500–$1,500 for incorporation fees, corporate records, and initial legal review of your operating agreement. This is not the place to DIY with a free online form — a small business lawyer charging $800 for a proper setup saves you $30,000 in legal fees later. Ask your lawyer to review your lease draft at the same time.

7 Get Your Licenses & Permits

⏱ 2–6 weeks 💵 $500–$3,000

You'll typically need: a local business license from your city or municipality, cosmetology or esthetics licenses for each technician who performs services, a state or provincial health department approval (covering sanitation, sharps, and chemical storage), and a tax registration number (GST/HST in Canada, EIN in the U.S.).

Requirements vary significantly by region. In Alberta for example, you need AHS (Alberta Health Services) approval for personal service establishments plus a city business license. Our Salon Licences in Alberta guide walks through the exact steps and fees for that province as an example. Check your local government website or call your city's small business hotline for your specific jurisdiction.

8 Find & Lease Your Space

⏱ 6–12 weeks 💵 $4,000–$12,000 upfront

For a small salon, target **800–1,500 square feet**. Less than 800 feels cramped once you have 3+ stations. More than 1,500 adds rent without adding revenue until you've grown into it. Look for strong sight lines from the street, parking proximity, signage visibility, and foot traffic from neighboring anchors (grocery stores, gyms, coffee shops).

Commercial leases use different math than residential. Expect either a **triple-net lease** (base rent + your share of property tax, insurance, and maintenance — common in North America) or a **gross lease** (all-in rent). Always negotiate: tenant improvement allowance (landlord contributes to your build-out), free rent during construction (2–3 months is standard), early termination clause (180-day exit cap), personal guarantee limits, and assignment rights (so you can sell the business later). **Never sign a lease without a lawyer reviewing it.**

9 Build Out the Space

⏱ 6–12 weeks 💵 $25,000–$75,000

Unless you're taking over an existing salon, you'll need to build out. The core work is plumbing (pedicure chairs, shampoo sinks), electrical (high-draw appliances, good lighting), ventilation (nail salons require dedicated exhaust for acrylic dust and fumes), flooring, paint, and cabinetry. Get at least three quotes from licensed contractors with salon experience — not residential renovators. The cheapest quote is almost always a mistake.

Expect 6–12 weeks from permit to completion. Build in a 2-week buffer; renovation projects always slip. Inspect frequently, don't pay the final installment until your final walkthrough, and get every change in writing. Plan your equipment delivery for the week *after* the expected finish date.

10 Buy Equipment & Products

⏱ 2–4 weeks 💵 $18,000–$40,000

The big-ticket items: pedicure chairs ($1,500–$4,000 each), manicure stations ($400–$1,200 each), a reception desk, comfortable chairs for waiting clients, a POS terminal, display shelving for retail product, a sterilizer or autoclave, and cleaning supplies. Don't skimp on chairs — you and your clients will spend hundreds of hours in them.

For products, open trade accounts with 2–3 major suppliers (OPI, CND, Essie, Éminence Organic Skin Care for facials). Most offer **net-30 terms** after your first 2–3 orders, which is a massive cash-flow win. Order your opening inventory in Week 1 of build-out so it arrives before you open — budget $5,000–$12,000 for first-month stock.

11 Set Up Your Technology Stack

⏱ 1–2 weeks 💵 $0–$300/month

Get your tech running *before* opening day, not after. Core tools:

- **Salon management software** — handles online booking, appointment calendar, SMS reminders, client CRM, tip tracking, loyalty. SICUS Booking is free to start and built specifically for nail and beauty salons; Fresha and Square Appointments are also common starting points.
- **Payment processing** — Square, Stripe, or Moneris (Canada). Get a physical tap-enabled terminal, not just a phone reader.
- **Accounting** — Wave (free) or QuickBooks Online for real bookkeeping. Track everything from day one; it's much harder to reconstruct later.
- **Google Business Profile** — your #1 source of local discovery. Set it up the same day you sign your lease.

Every tool integrates with every other tool. The most common first-year mistake is running payments in one system, bookings in another, and payroll in a spreadsheet. Get them connected early so you have one source of truth.

12 Hire Your Team

⏱ 4–6 weeks 💵 payroll starts immediately

Every technician must be licensed. Verify their credentials with your state or provincial cosmetology board — don't just trust the resume. Do reference checks on their last 2 salons and a criminal background check (many states require this). Decide on employment model: **W-2 employees** with hourly wage + tips (simpler, more control, more cost) or **commission/booth rent** (lower fixed cost but less control over schedule and service quality).

Draft a written employment agreement covering pay structure, tip handling, schedule, non-solicit clause (so they can't poach your clients if they leave), and cancellation/no-show policy. A small business lawyer can provide a standard template for $300–$600 and save you enormous headaches later.

13 Pre-Opening Marketing

⏱ 6–8 weeks before opening 💵 $500–$2,500

Start marketing before your doors open. The goal is to walk into Day 1 with a booked calendar, not an empty chair.

- **Google Business Profile** — claim and fully populate: hours, services, prices, interior photos, exterior photos. Post weekly updates. Aim for 10+ genuine reviews before Day 1 (from friends and family you actually served informally at home, not fake reviews).
- **Instagram** — launch 45 days before opening. Post 4× per week: build-out progress, technician spotlights, service "before & after" shots. Goal: 500–1,500 local followers by opening.
- **Soft opening** — one week before public launch, invite friends, family, and local business owners for free services. Every guest becomes a reviewer.
- **Grand opening day** — offer an opening special (20% off first service), refreshments, a photo wall. Partner with 1–2 nearby businesses for cross-promotion.

14 Opening Day & First 30 Days

⏱ ongoing 💵 first revenue!

Opening day is a beginning, not a finish line. Focus the first 30 days on: acquiring Google reviews aggressively (ask every happy client at checkout), responding to every review within 24 hours, tracking every appointment in your booking system, and meeting every walk-in personally. You're building your base.

Keep a daily log: appointments booked, no-shows, walk-ins, revenue, and one thing you learned. Review it weekly. The patterns you spot in Month 1 will shape your operation for the next 12 months — peak hours, popular services, staff performance, which marketing channel is working.

15 Measure What Matters

⏱ weekly forever 💵 $0

Once you're open, focus on the KPIs that actually predict success:

- **Chair utilization** — target 65% in Year 1, 75%+ by Year 2. Below 50% means you have a marketing problem. Above 85% means you need more staff or a second location.
- **No-show rate** — industry average is 12%. With SMS reminders you should hit 4–6%.
- **Rebook rate** — percentage of clients who book their next appointment at checkout. Target 50%+.
- **Average ticket** — track monthly. If it's flat, you're not upselling add-ons or premium services.
- **Break-even month** — use the Salon Breakeven Calculator to check whether you're on track. If Month 6 projections aren't materializing, diagnose aggressively — don't wait for Month 9.

The Printable 90-Day Salon Startup Checklist

Print this section and check off items as you complete them. Organized chronologically — follow it in order.

DAY 1–30: FOUNDATION

- [ ] Validate concept: interview 10 target customers
- [ ] Visit 5 competing salons, take notes on pricing and gaps
- [ ] Complete the Salon Idea Validator
- [ ] Research 3 target trade areas using census data
- [ ] Draft business plan using the Salon Business Plan Template
- [ ] Calculate startup budget with the Salon Startup Cost Calculator
- [ ] Identify 6% contingency reserve
- [ ] Choose legal structure and register the business

DAY 31–60: FUNDING & LOCATION

- [ ] Hire small business lawyer ($500–$1,500)
- [ ] Obtain SIN/EIN/business number
- [ ] Apply for small business loan (SBA / BDC / bank)
- [ ] Apply for business license from city
- [ ] Apply for health department approval
- [ ] Register for GST/HST or state sales tax
- [ ] Purchase commercial general liability insurance
- [ ] Tour 8–12 commercial spaces

- [ ] Negotiate lease (tenant improvement allowance, free rent, exit clause)
- [ ] Have lawyer review lease before signing

DAY 61–90: BUILD-OUT, EQUIPMENT, MARKETING

- [ ] Get 3 contractor quotes for build-out
- [ ] Sign contractor agreement and pull permits
- [ ] Order equipment (pedi chairs, mani stations, POS, signage)
- [ ] Open product supplier trade accounts (OPI, CND, skincare lines)
- [ ] Order opening inventory
- [ ] Claim and populate Google Business Profile
- [ ] Launch Instagram with 4 posts/week
- [ ] Set up SICUS Booking (or equivalent salon software)
- [ ] Set up payment processing (Square / Moneris)
- [ ] Set up accounting software (Wave or QuickBooks)
- [ ] Post job listings for technicians and estheticians
- [ ] Interview, verify licenses, background check, hire staff
- [ ] Sign employment/commission agreements
- [ ] Final contractor walkthrough and punch list
- [ ] Install equipment, stock products, decorate space
- [ ] Host soft opening for friends, family, local partners
- [ ] Grand opening day — promotions, photos, first reviews

FIRST 30 DAYS OF OPERATIONS

- [ ] Ask every happy client for a Google review
- [ ] Respond to every review within 24 hours

- [ ] Track appointments, no-shows, walk-ins daily
- [ ] Weekly review of revenue vs break-even projection
- [ ] Check chair utilization, no-show rate, rebook rate
- [ ] Adjust marketing based on which channels are converting